Adverse Selection

A market maker faces a risk that a buyer has nonpublic information, and the stock is selling at a price that is too high or too low relative to true, fundamental value. A buyer knowing that the stock will increase in value will continue to buy and increase the price. In this case, the market maker has sold too early and too low. This is *adverse selection*. Glosten and Milgrom (1985) and Kyle (1985)—the papers that started the market-making microstructure literature—developed theories of how the bid–ask spread should be set to incorporate the effects of adverse selection. DFA provides some examples of how to counter adverse selection. To avoid being exploited, DFA trades with counterparties that fully disclose their information on stocks. At the same time, DFA itself operates in a trustworthy way by not front running or manipulating prices.[39]

4.4. REBALANCING

The last way an asset owner can supply liquidity is through dynamic portfolio strategies. This has a far larger impact on the asset owner's total portfolio than liquidity security selection or market making because it is a top-down asset allocation decision (see chapter 14 for factor attribution).

Rebalancing is the simplest way to provide liquidity, as well as the foundation of all long-horizon strategies (see chapter 4). Rebalancing forces asset owners to buy at low prices when others want to sell. Conversely, rebalancing automatically sheds assets at high prices, transferring them to investors who want to buy at elevated levels. Since rebalancing is counter-cyclical, it supplies liquidity. Dynamic portfolio rules, especially those anchored by simple valuation rules (see chapters 4 and 14), extend this further—as long as they buy when others want to sell and vice versa. It is especially important to rebalance illiquid asset holdings too, when given the chance (see also below).

Purists will argue that rebalancing is not strictly liquidity provision; rebalancing is an asset management strategy. Rebalancing, in fact, can only occur in the context of liquid markets. But prices exhibit large declines often because of blowouts in asymmetric information, or because funding costs rapidly increase so that many investors are forced to offload securities—some of the key elements giving rise to illiquidity listed at the start of Section 2. Brunnermeier (2009) argues that these effects played key roles in the meltdown during the financial crisis. In the opposite case, rebalancing makes available risky assets to new investors, potentially with lower risk aversions than existing clientele or those who chase past high returns, or to investors who load up on risky assets when prices are high because they have abundant access to leverage and they perceive asymmetric information is low. In this general framework, *rebalancing provides liquidity*.

[39] See MacKenzie (2006).